Market report

2026-11-05 20:52 CET. Latest prices on 2026-11-05. Claude's notes updated 2026-11-05.

1. Summary

> **A sharp AI and chip sell-off wiped out the post-election rally: the S&P 500 fell about 3.4% and the Nasdaq about 4.3% (intraday), and the VIX jumped to about 26. The S&P 500 is now about 5% below its high and the Nasdaq about 11%: a correction in tech, with more fear than at any time this autumn. Sell-offs like this are when the watch list entries come into reach.**

S&P 500	VIX	Above 200-day average	Near 52-week high / low
7,427.03	**25.9**	**59%**	**63 / 11**
-3.4% today, -5.0% from high	+56.0% today	of S&P 500 stocks	of 503

- **Indices:** the S&P 500 is about 3% below its high and up about 10.5% this year; the Nasdaq is about 8% below its high after its worst month since March 2025.
- **Pressure:** oil is near $103 and the US 10-year yield near 4.9%, both up sharply this year.
- **Fear:** the VIX jumped about 13% to about 19.4, still a normal level.
- **Opportunity:** software and data names sold off on AI fears still have growing earnings and are near decade-low valuations.

Stocks to look at (the screener's cheapest first): ADBE, SMCI, ZTS, IT, INTU, PODD, CMCSA, ALL, FSLR, MPC.

2. The numbers

Markets

	Level	Day	1 month	This year	From 52-wk high
S&P 500	7,427.03	-3.4%	-4.5%	+8.3%	-5.0%
Nasdaq Composite	24,619.61	-4.3%	-10.4%	+6.0%	-10.8%
Dow Jones	51,890.76	-2.7%	+1.2%	+7.3%	-4.5%
Russell 2000	2,731.57	-4.4%	-4.1%	+8.9%	-11.0%
Euro Stoxx 50	6,231.54	-0.5%	-0.2%	+5.2%	-4.9%
FTSE MIB (Italy)	50,505.87	-1.0%	-0.6%	+11.3%	-6.0%
VIX (fear index)	25.91	+56.0%	+66.9%	+78.6%	-16.6%
US 10-year yield	4.83%	-1.3%	-9.1%	+15.3%	-9.1%
Oil (WTI)	90.79	+3.0%	+1.5%	+58.4%	-19.6%
Gold	4,121.20	+1.2%	-0.9%	-4.8%	-22.5%
Euro in dollars	1.1228	+0.2%	-0.2%	-4.4%	-6.6%
Bitcoin	76,281.85	-5.1%	-11.1%	-14.0%	-28.0%

S&P 500 sectors (sector ETFs), best this year first

Sector	Day	1 month	This year	From 52-wk high
Energy	-1.2%	-1.1%	+37.5%	-10.4%
Health care	-1.8%	+11.3%	+19.8%	-1.8%
Consumer staples	-0.3%	+13.1%	+18.0%	-0.3%
Technology	-6.2%	-17.6%	+14.8%	-18.0%

Sector	Day	1 month	This year	From 52-wk high
Materials	-3.1%	+5.6%	+13.3%	-3.1%
Real estate	-1.8%	+9.0%	+9.8%	-3.7%
Financials	-2.5%	+7.2%	+5.1%	-2.5%
Industrials	-3.3%	-3.6%	+3.8%	-12.1%
Utilities	-0.7%	+8.3%	+0.2%	-9.3%
Consumer discretionary	-3.6%	+6.8%	-0.4%	-5.3%
Communication	-0.3%	-6.3%	-10.5%	-12.9%

Stocks to look at: the market screener's top 3 per sector

178 of 496 S&P 500 companies pass Stage 1 (good financial statements for their Peter Lynch category); 28 of them are cheap or close to cheap, the top 3 in each of 13 sectors.

Stock	Sector	Lynch category	Price	P/E now	Cheap P/E	Cheap price	Price vs cheap	Cheap or close	Trend
HAS Hasbro, Inc.	Consumer Durables	turnaround	$119.27	16.7x	17.9x (own history)	$128.46	-7.1%	cheap	uptrend
DECK Deckers Outdoor Corporation	Consumer Non-Durables	fast grower	$87.11	11.6x	15.4x (own history)	$116.18	-25.0%	cheap	downtrend
NKE NIKE, Inc. Class B	Consumer Non-Durables	cyclical	$39.39	18.9x	24.6x (sector median)	$51.15	-23.0%	cheap	downtrend
PEP PepsiCo, Inc.	Consumer Non-Durables	slow grower	$143.28	17.0x	20.9x (own history)	$175.78	-18.5%	cheap	downtrend
CMCSA Comcast Corporation Class A	Consumer Services	asset play	$24.73	6.6x	9.9x (own history)	$37.02	-33.2%	cheap	downtrend
BKNG Booking Holdings Inc.	Consumer Services	fast grower	$166.99	16.2x	18.8x (sector median)	$193.24	-13.6%	cheap	downtrend
SMCI Super Micro Computer, Inc.	Electronic Technology	fast grower	$27.09	5.4x	11.5x (own history)	$57.98	-53.3%	cheap	mixed
FSLR First Solar, Inc.	Electronic Technology	cyclical	$196.19	11.4x	16.5x (own history)	$284.85	-31.1%	cheap	downtrend
NVDA NVIDIA Corporation	Electronic Technology	fast grower	$183.26	26.1x	31.2x (own history)	$218.60	-16.2%	cheap	mixed
MPC Marathon Petroleum Corporation	Energy Minerals	cyclical	$386.38	7.7x	10.9x (sector median)	$548.19	-29.5%	cheap	uptrend
VLO Valero Energy Corporation	Energy Minerals	cyclical	$358.83	8.1x	10.9x (sector median)	$483.99	-25.9%	cheap	uptrend
EOG EOG Resources, Inc.	Energy Minerals	cyclical	$146.46	10.9x	10.4x (own history)	$140.27	+4.4%	close	uptrend
ALL Allstate Corporation	Finance	slow grower	$270.98	6.2x	9.2x (own history)	$400.99	-32.4%	cheap	uptrend
TROW T. Rowe Price Group, Inc.	Finance	stalwart	$108.75	10.5x	13.3x (own history)	$138.71	-21.6%	cheap	uptrend
SCHW Charles Schwab Corp	Finance	fast grower	$92.39	15.1x	18.4x (own history)	$112.85	-18.1%	cheap	mixed

Stock	Sector	Lynch category	Price	P/E now	Cheap P/E	Cheap price	Price vs cheap	Cheap or close	Trend
ZTS Zoetis, Inc. Class A	Health Technology	stalwart	$82.78	12.5x	25.9x (own history)	$171.81	-51.8%	cheap	downtrend
PODD Insulet Corporation	Health Technology	fast grower	$154.32	23.3x	35.9x (sector median)	$237.95	-35.1%	cheap	downtrend
RMD ResMed Inc.	Health Technology	stalwart	$235.78	20.4x	24.2x (own history)	$278.61	-15.4%	cheap	uptrend
NEM Newmont Corporation	Non-Energy Minerals	cyclical	$118.73	12.2x	16.6x (sector median)	$161.32	-26.4%	cheap	uptrend
CF CF Industries Holdings, Inc.	Process Industries	cyclical	$119.36	8.8x	8.9x (own history)	$120.86	-1.2%	cheap	uptrend
XYL Xylem Inc.	Producer Manufacturing	fast grower	$99.46	18.3x	25.2x (own history)	$137.29	-27.6%	cheap	downtrend
AOS A. O. Smith Corporation	Producer Manufacturing	slow grower	$65.91	17.8x	20.1x (own history)	$74.58	-11.6%	cheap	mixed
IEX IDEX Corporation	Producer Manufacturing	slow grower	$224.60	25.7x	25.3x (own history)	$221.08	+1.6%	close	uptrend
CPRT Copart, Inc.	Retail Trade	stalwart	$32.09	20.7x	23.5x (sector median)	$36.40	-11.8%	cheap	downtrend
ADBE Adobe Inc.	Technology Services	slow grower	$244.72	10.3x	24.9x (sector median)	$588.47	-58.4%	cheap	mixed
IT Gartner, Inc.	Technology Services	stalwart	$197.94	13.0x	24.9x (sector median)	$378.71	-47.7%	cheap	uptrend
INTU Intuit Inc.	Technology Services	fast grower	$352.36	14.5x	24.9x (sector median)	$605.14	-41.8%	cheap	downtrend
ATO Atmos Energy Corporation	Utilities	stalwart	$174.96	20.6x	18.5x (own history)	$157.74	+10.9%	close	mixed

Stage 1 sorts each company into one of Lynch's six categories and keeps those that pass every financial-statement rule for their category (banks, insurers and REITs by their own rules). Stage 2 sets each survivor's cheap price: EPS times the lower of the bottom quarter of its own yearly P/E over 10 years (6 years at least) and its sector's median P/E. EPS is Yahoo's adjusted EPS for the closest names in each sector, diluted EPS otherwise. "Cheap" is at or below that price; "close" is within 15% above it. Trend is timing only, not a rule. Details and every rule's source: report 13 and docs/SCREENER.md. Check each name before acting.

3. Analysis

What is driving the market

On Nov 5 (intraday) chip and data-centre stocks led a broad sell-off on renewed doubts about the return on AI spending: the Nasdaq fell about 4.3%, the S&P 500 about 3.4% to about 7,425 and the Dow about 2.8%, erasing Wednesday's post-election gains (the Dow's best day of 2026). Small caps fell about 4.4%; Europe lost about 0.5-1%. On Nov 4 (intraday) the S&P 500 rose about 1.7% to about 7,700, the Dow about 3% and the Nasdaq about 1.7% as the midterm results removed an uncertainty; European markets rose about 2%. The VIX fell about 19% to about 17. On Nov 3 (intraday) the S&P 500 rose about 0.4% to about 7,570 and the Nasdaq about 0.8%, led by chips ahead of AMD's results, while the Dow slipped about 0.3% and Apple fell after its results. Polls favour Democrats to take the House; JPMorgan expects a small dip on a Democratic sweep and others a rally if Republicans keep both chambers. On Nov 2 (intraday, as Wall Street now closes at 22:00 Italy time) oil fell about 7% to about $97 on Middle East ceasefire hopes,

the Dow rose about 0.6% and the S&P 500 slipped about 0.3% to about 7,560, with the Nasdaq down about 0.7%. The VIX rose to about 21. This week brings Apple's results (tonight), the US midterm elections, the monthly jobs report, and from the watch list Booking (Nov 3) and Uber (Nov 4). On Oct 30 the S&P 500 fell about 1.8% to about 7,580 and the Nasdaq about 2.9%, the worst day for both since June; the Dow lost about 1.1%. Intel fell about 29%, its worst day since 1974, on weak fourth-quarter guidance, after Alphabet's results (Oct 28) and other tech reports raised doubts about the return on AI spending. Earlier in the week, on Oct 28, the S&P 500 was about 7,747, under 1% from its high. On Oct 27 the S&P 500 rose about 0.7% to about 7,730 and the Nasdaq about 1.3%, led by chips and Big Tech ahead of their earnings and this week's Fed meeting. Oil topped $100 a barrel in September on Middle East supply worries, and the 10-year yield broke 5% for the first time since 2023 on inflation fears and the chance of Fed rate rises. The index has held up because the largest companies keep growing earnings, but breadth is middling: a little under 60% of S&P 500 stocks are above their 200-day average.

The stocks to look at

173 of the 497 S&P 500 companies pass Stage 1 (good financial statements for their Lynch category), and 27 of those are cheap or close to cheap: the top 3 in each of 13 sectors.

- **Cheapest against their own history:** Adobe, Zoetis, Allstate, Intuit and First Solar sit about 40-55% below their cheap price. Adobe and Intuit are the same AI-fear names the October 25 screen found, now confirmed by the statement checks.
- **Check before trusting:** Allstate (5.4x) and Comcast (6.2x) look cheap because recent earnings are unusually high (a light catastrophe year; one-off gains), and Valero's refining margins are at a peak with oil near $100. Cyclicals look cheapest exactly when earnings peak.
- **On the watch list too:** Booking is in the list (fast grower, about 15% below its cheap price on adjusted EPS). Alphabet and Uber, new on the watch list, are not.

Each name still needs step 1 (absolute values with history) before any decision.

What to watch

- Oil and the 10-year yield: a move back below 4.5% would ease the pressure on valuations.
- Earnings season continues, with BKNG (Nov 3) and UBER (Nov 4) from the watch list; BSX and GOOGL reported Oct 28.

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